SavePredictedExams — SME

Economics

Higher level / Standard level
Paper 1

SME Mark Scheme — Paper 1 Advanced

Use the question-specific mark scheme together with the mark bands. Award up to the maximum marks as indicated.

1. (a) Using appropriate diagrams, explain how a monopolist may engage in third-degree price discrimination to increase its total revenue. **[10]**

Answers **may** include:

- **Terminology:** Monopoly, price discrimination (first/second/third degree), market segmentation, price elasticity of demand, total revenue, MR=MC.
- **Diagrams:** A combined diagram showing two submarkets with different PEDs (one more inelastic, one more elastic) and a combined MR=MC condition that sets a higher price in the less elastic submarket.
- **Theory:** The three necessary conditions (market power, different PEDs, no resale). The firm charges a higher price in the less elastic market and a lower price in the more elastic market so that MR is equalised across markets, raising total revenue and profit.

Assessment Criteria — Part (a) 10 marks

Marks	Level descriptor
0	*The work does not reach a standard described by the descriptors below.*
1–2	The response indicates little understanding of the specific demands of the question. Economic theory is stated but it is not relevant. Economic terms are stated but they are not relevant.
3–4	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included.
5–6	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included.
7–8	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used mostly appropriately. Where appropriate, relevant diagram(s) are included and explained.

9–10	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained.

1. (b) Using real-world examples, evaluate the view that regulation rather than nationalisation is the most effective way for governments to address the inefficiencies of firms with significant monopoly power. **[15]**

Answers **may** include:

- **Terminology:** Natural monopoly, allocative and productive efficiency, dynamic efficiency, regulatory capture, price caps (RPI-X), rate-of-return regulation, nationalisation.
- **Diagram:** A monopoly diagram comparing the unregulated MR=MC outcome with marginal-cost or average-cost pricing imposed by a regulator.
- **Theory:** Regulation can set price caps, quality standards, open markets to competition, and approve mergers. Nationalisation brings the firm under public ownership to pursue social objectives.
- **Synthesis (evaluate):** Regulation is cheaper and preserves private-sector incentives, but risks regulatory capture and asymmetric information. Nationalisation can ensure universal service but creates x-inefficiency, political interference and large fiscal costs. The best answer depends on industry characteristics.
- **Example(s):** UK water and energy regulators (Ofwat, Ofgem), EU competition authority fines on Big Tech, renationalised rail franchises in the UK, Mexico's CFE electricity reforms.

Assessment Criteria — Part (b) 15 marks

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4–6	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included. The response contains evidence of superficial synthesis or evaluation. A relevant real-world example(s) is identified.
7–9	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included. The response contains evidence of appropriate synthesis or evaluation but lacks balance. A relevant real-world example(s) is identified and partly developed in the context of the question.

10–12	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used mostly appropriately. Where appropriate, relevant diagram(s) are included and explained. The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. A relevant real-world example(s) is identified and developed in the context of the question.
13–15	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained. The response contains evidence of effective and balanced synthesis or evaluation. A relevant real-world example(s) is identified and fully developed to support the argument.

2. (a) Explain, using an AD/AS diagram, how a combination of demand-side and supply-side shocks can cause stagflation in an economy. **[10]**

Answers **may** include:

- **Terminology:** Stagflation, cost-push inflation, recession, supply-side shock, aggregate demand, SRAS, LRAS.
- **Diagram:** AD/AS diagram with SRAS shifting left (raising the price level and cutting real output) combined with a possible leftward shift in AD — producing higher prices and lower output (stagflation).
- **Theory:** Cost-push shocks (oil prices, supply-chain disruption, war) raise costs and reduce SRAS. Simultaneous AD weakness (loss of consumer/business confidence, tight monetary policy) deepens the recession while inflation remains high.

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2. (b) Using real-world examples, discuss the view that economic growth is incompatible with environmental sustainability. **[15]**

Answers **may** include:

- **Terminology:** Economic growth, sustainable development, negative externalities, common pool resources, green growth, decoupling, circular economy, Kuznets curve.
- **Diagram:** A negative production externality diagram, or a PPC showing the trade-off between consumer goods and environmental quality.
- **Theory:** Economic growth often increases energy use, emissions, and resource extraction. However, higher incomes fund green R&D;, regulation and cleaner technology (decoupling and the environmental Kuznets curve).
- **Synthesis (evaluate):** Absolute decoupling remains rare; carbon budgets tighten as growth continues. Market-based instruments, regulation and international cooperation are essential. The answer depends on how growth is measured (GDP vs. sustainability-adjusted indicators) and the time horizon.
- **Example(s):** China's dual goals of growth and carbon neutrality, Costa Rica's green growth, EU Green Deal, Norway's sovereign wealth model.

Assessment Criteria — Part (b) 15 marks

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3. (a) Explain two barriers to economic development commonly faced by low-income countries. **[10]**

Answers **may** include:

- **Terminology:** Economic development, poverty cycle, low human capital, institutional weakness, primary product dependency, informal sector, indebtedness.
- **Diagrams:** A poverty cycle diagram or a PPC showing low productive potential.
- **Theory:** Two barriers chosen from low savings and investment, low human capital, poor institutions (corruption, weak property rights), infrastructure gaps, indebtedness, primary product dependency, and conflict.

Assessment Criteria — Part (a) 10 marks

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3. (b) Using real-world examples, evaluate the view that foreign direct investment (FDI) is a more effective strategy for promoting long-term economic development than foreign aid. **[15]**

Answers **may** include:

- **Terminology:** FDI, multinational corporations (MNCs), spill-overs, bilateral aid, multilateral aid, tied aid, humanitarian and development aid, crowding-out.
- **Diagrams:** AD/AS diagram showing LRAS shifting right following FDI, or a poverty cycle being broken via investment in human capital.
- **Theory:** FDI brings capital, technology, jobs, managerial expertise and export markets. Foreign aid provides resources for health, education, infrastructure, debt relief and institution building.
- **Synthesis (evaluate):** FDI can be exploitative, profit-repatriating, environmentally damaging and concentrated in enclaves. Aid can create dependency, distort local markets (tied aid), and be mis-targeted. The comparison depends on host-country policies, absorptive capacity and the sector. A mix supported by domestic reform often works best.
- **Example(s):** FDI into Vietnam’s manufacturing, Mauritius as an FDI success story, Marshall Plan aid, African debt-relief initiatives (HIPC), criticism of tied aid in Ghana.

Assessment Criteria — Part (b) 15 marks

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